

③ Moving Average

LOOK AT THE SLOPE!

7 Simple checklist (screenshot this) ★ *Use daily chart (1M)*

Before buying:

- MA10 > MA30 ★ *For long term, use 1Y chart to confirm*
- MA30 sloping up
- Price pulled back near MA10
- Price still above MA30 ★ *Long lower wicks*

If all yes → good short-term entry

MA lags,
longer the MA,
the slower it reacts.

→ also applies for small red candle

Situation	MA to watch	Action
Short-term entry	MA10 / MA30	Buy pullback to MA10 above MA30
Short-term exit	MA30	Exit on close below
Long-term entry	MA50 / MA200	Buy pullback to MA50
Long-term hold	MA200	Hold above
Long-term exit	MA200 (weekly)	Exit below

3 The correct short-term MA strategy (use this)

◆ **Trend condition (must be true first)**

- MA10 > MA30
- MA30 sloping upward

If this is NOT true → do nothing

◆ **Entry condition (your idea, refined)**

Buy when price pulls back to MA10 *while*:

- Price stays above MA30
- Candle shows rejection (small wick, not a big red candle)

Think:

“Temporary pause, not trend break”

◆ **Exit / warning condition**

Be cautious or exit if:

- Daily close below MA30
- OR MA10 crosses below MA30

This saves you from big losses.

This is where discipline matters most.

● **Conservative short-term exit**

Exit partially or fully if:

- Daily close below MA30
- Especially if MA10 < MA30

This protects profits early.

● **Aggressive short-term exit**

Exit if:

- MA10 crosses below MA30
- Momentum clearly dies

Used by active traders.

Note!

2 What you do when MA turns bad (simple rules)

● **Case 1: MA10 drops below MA30**

This is a warning, not an emergency.

Action:

- ✗ Stop adding
- ✓ Hold existing position
- 📢 Watch price vs MA30

● **Case 2: Price closes below MA30**

This is the line in the sand.

Action:

- ✗ Exit short-term trade
- Or reduce significantly

● **Case 3: MA30 slopes down**

This is trend failure.

Action:

- ✗ Exit
- ✗ No re-entry until structure repairs

3 Why this works

- You cut losses early
- You let winners run
- You avoid falling knives

3 What you should do in each case

● **0–20% above MA200**

- Safe to enter on MA50 pullbacks
- Normal position size

● **20–40% above MA200**

- Still bullish
- Do NOT add
- Hold if already in

→ Using MA30:

- 0–5% above MA30 → Safe zone
↳ comfortable to buy/add
- 5–10% above MA30 → Caution zone
↳ okay to buy only on pullbacks to MA10/MA20
- > 10–12% above MA30 → Risky/Stretched

● **40–60% above MA200**

- Take partial profits
- Tighten stops (MA30 / MA50)
- Expect sharp pullbacks

● **>60% above MA200**

- This is distribution territory
- New entries = gambling
- Only hold a reduced position

4 Long-term ENTRY rule when price is far above MA200

👉 You wait. Always.

Good long-term entries come from:

- Pullback to MA50
- Long consolidation while MA200 catches up
- Multi-month bases

If you buy extended prices:

- Your risk is 3–5× larger
- Your upside is limited short-term

- ↳ During a double bottom, it suggests:
- Sellers tried twice and failed to push price lower.
 - Buyers are absorbing supply.
 - Momentum may be shifting up.
 - W is NOT bullish until confirmed.
- ↳ Price breaks above the middle peak of the W (the "neckline")
- ↳ Price holds above MA30
- ↳ MA10 > MA30
- ↳ Volume expansion